Fed-Surprise Price Risk and AMC's Metal Inventory

What an internal study of precious-metals price drivers means for a scrap & coin dealer's day-to-day risk and pricing

Bottom line

AMC is, in effect, a leveraged long position in physical metal for the days to weeks it holds inventory (its “float”) — the very window this study measures. The findings therefore speak directly to AMC's core inventory-price risk. Use them to **size protection against a bad outcome**, not to predict the market.

About this note

AMC buys scrap gold, silver, platinum, and palladium — assaying each lot to establish its exact fine-metal content — and buys and sells gold coin and specie. Because metal is held for days to weeks between purchase and sale or refining, AMC's margin depends on where prices move over that window. This note translates an internal research program on what moves precious-metals prices (internally, “Phase 5”) into its practical consequences for that risk.

The study measured how metals prices react to well-defined economic shocks — chiefly **surprise** decisions by the Federal Reserve's Federal Open Market Committee (FOMC), the committee that sets U.S. interest rates. “Surprise” means only the part of a decision that markets had not already expected; a **hawkish** surprise (tighter policy, higher rates than expected) tends to push metals down, and a **dovish** surprise (easier policy) does the reverse. To keep any single technique from misleading, the study used three independent statistical methods and treats a result as solid only where they agree: local projections (LP), double machine learning (DML), and a structural vector autoregression (SVAR). The three isolate cause from coincidence in different ways, so agreement is strong evidence.

Reading the figures. “h = 5” means five trading days after the event (h is the horizon); effects are cumulative over that window. **Statistically significant** means very unlikely to be chance — shown as a low p-value (for example, p = 0.00, a near-zero probability the result is a fluke) or as a plausible range that stays entirely on one side of zero. “n = 11” is the number of events behind an estimate; when n is small, trust the direction, not the exact number. “n.s.” means not significant — not distinguishable from zero. Every figure is an **average of past episodes**, not a forecast of the next one.

Prepared 2026-07-12; grounded against the underlying Phase 5 estimates and adversarially reviewed. This is decision support on the size of event-driven price moves — not market-timing signals or investment advice.

The metal-by-metal risk map

Metal	Hawkish surprise, day 5 (2010–present)	Recent era (2020–26)	≈× gold	Hedgeable off the Fed?
Gold	−1.43% (DML) / −1.50% (LP)	−0.91% (firm)	1.0	**Yes** — the anchor; all 3 methods agree
Silver	−2.95% / −2.97%	−1.24% (noisy)	~2.0	**Yes** — largest, most one-sided swing

Metal	Hawkish surprise, day 5 (2010–present)	Recent era (2020–26)	≈× gold	Hedgeable off the Fed?
Platinum	−1.68% / −1.74%	−0.98%	~1.2	**Yes** — dependable; larger by day 20 (−3.0%)
Palladium	−1.61% / −1.75% (n.s.)	~0 / +0.42% (flips)	—	**No** — supply-driven; manage on its own

Each figure is the average cumulative price move five trading days after a hawkish surprise: over 2010 to the present, and over the recent 2020–26 era. LP and DML are two of the three methods above; where both are shown they nearly match. The ranking — silver, then platinum, then gold — is the most robust result: the direction held in every period tested.

What it means for each decision

1. The Fed hit is a slow, multi-week repricing — not a one-day event.

A hawkish surprise keeps working on the price for weeks. The first day captures only about 40% of the eventual drop (gold falls roughly 0.64% on day 1 but about 1.62% by day 20), and the rest accrues across exactly the window AMC holds inventory. So hedge aged and floating lots from the day before a meeting out to about three weeks, not merely overnight. One timing quirk helps: COMEX (the New York metals futures exchange) settles around 1:30 p.m. Eastern Time (ET), before the 2:00 p.m. FOMC statement, so a lot cleared before the settle sidesteps that day's move.

2. The risk is one-sided — buy downside protection; don't pay for it by capping upside.

A hawkish surprise cuts gold about 1.43% (statistically solid under all three methods); a dovish surprise adds only about 0.57% (never distinguishable from zero). Favor puts or short futures over a collar, and don't sell covered calls to fund them — that caps a real, if smaller, upside. It also means: don't build inventory on a “the Fed will cut” view, because the upside from cuts is small and unreliable. Silver's imbalance is starker — its downside is roughly nine times its upside; palladium is the lone, fragile exception.

3. Build a metal-specific cushion into the price you pay below spot.

Set the discount below spot to include protection sized to the likely one-week price drop — a Value-at-Risk (VaR) buffer, i.e., a cushion sized to a plausible bad case. Scale it by metal: silver widest (about twice gold), platinum about 1.2×, gold tightest, palladium on its own supply logic. The effect has shrunk over successive periods, but that decline is statistically firm only for gold — so set silver's and platinum's cushions **between** their long-run and recent figures, not at the noisier recent point.

4. Palladium — and only palladium — comes off the Fed hedge.

Palladium's reaction to Fed surprises is the only one that isn't statistically reliable (about a 9% chance it is merely noise), and after 2020 it disappears altogether — so govern palladium by its real drivers, platinum-group supply and autocatalyst (auto-emissions) demand, and turn it over fastest. **Platinum is different**: a dependable, gold-like Fed sensitivity (larger by day 20) that held in every period tested. So the rule “the platinum-group metals (PGMs — platinum and palladium) aren't Fed-driven” is true of palladium only; don't manage the two as one book. Note too that both PGMs sold off fast in past risk-off episodes — broad selloffs when investors flee risk, such as the COVID-19 crash — while gold and silver held up. Treat that as a reason to cap PGM inventory in those moments, not as a precise number.

5. Coin & specie: the safe-haven demand driver is real, but the premium link is unproven.

A genuine flight to safety — when bond yields and stock prices fall together — reliably lifts gold (about +0.46%, with a statistical range that stays above zero); geopolitical headlines on their own do nothing. So stop pre-buying coin inventory on scary headlines. One caveat matters: the study measured spot and futures prices only — never the retail premiums AMC earns on coins or the volume of walk-in demand. “In a scare, premiums widen and demand surges” is a reasonable hypothesis to test against AMC's own sales records, not a proven result — so don't let that hope shrink the hedge on the metal itself.

What these numbers can and cannot do

- **Averages, not forecasts.** You cannot know which of the Fed's eight scheduled meetings a year will bring a hawkish surprise — by definition a surprise is the part markets did not see coming. These figures size insurance against a bad outcome; they do not predict which meeting delivers it. Expect to spend on hedges that, in hindsight, two-thirds of meetings did not need — and hedge only genuinely at-risk aged inventory.
- **The recent rate-cutting cycle is untested.** The underlying surprise data end in December 2023, and the effect has weakened each period. Treat “about twice for silver, about 1% for gold” as a ranking and an upper bound, not a fixed number.
- **Steer by the visible Fed stance** (raising versus holding or cutting), not by the study's internally derived “market regime” labels — those were built with full hindsight and failed as a forward-looking predictor, so using them to anticipate a meeting would be circular.

The highest-value next step

None of this touches AMC's own economics — margins, coin premiums, assay yields, how long metal actually sits, or realized profit and loss (P&L) around meetings. The most valuable next step is to join these price-risk estimates to AMC's own books: track realized 20-day P&L on inventory around each FOMC meeting, measure how long each metal actually sits, and check whether coin premiums truly widen in the risk-off episodes the study flags. That turns “gold falls about 1% on a hawkish surprise” into “AMC loses roughly $X on the average hawkish meeting, hedgeable for $Y” — the figure that actually runs the business.